

DDOG/DT Preview: Rough Stock Performance But Can AI Turn Things Around?

Observability stocks have lagged and while DDOG (-20% YTD) and DT (-22% YTD) are both trading near 5-yr troughs, neither is expected to see near-term AI monetization tailwinds. DDOG enters 4Q with a lower bar, strong core demand, and backlog growing >2x rev but a potential CY26 guidedown remains a risk. DT's F2H26 setup looks achievable, although growth is likely to remain steady and sales-productivity initiatives are unlikely to help meaningfully before FY27.

Please join Brent Thill & Jefferies Software Team 2/6 at 11:30AM ET to discuss dynamics of the observability market and setup for DDOG/DT. Register [here](#).

DDOG (Buy, \$160 PT): With DDOG on track to finish CY25 with accelerating growth vs CY24, the OpenAI overhang resolved for at least the next year, and backlog growth at 53% (>2x rev growth), valuation seems reasonable at 8x CY27 rev with upside to estimates. Investors are focused on: **1) CY26 outlook.** DDOG's CFO tends to guide conservatively. Recall that in 4Q last year, mgmt guided down CY25 rev to 18-19% y/y growth vs 26% in CY24, and CY25 op margin to 21% vs 25% in CY24. The stock dropped precipitously as a result, falling 23% in the 2 weeks after 4Q24 earnings. The co is on track to deliver 27% rev growth and 22% op margin exiting CY25. While we believe the co can beat-and-raise throughout the year, investors are braced for a guidedown with CY26 rev growth bogey at 18% y/y (below Street ests of 21%) and 23% op margin. **2) Core growth.** Non-AI-native rev growth accelerated to 20% y/y in 3Q (vs 18% in 2Q), and mgmt attributed the strength to an improving demand environment which seems more durable given this cohort's tendency to spend more steadily rather than over-consume and optimize later.

Analyst day expectations. In our view, DDOG's decision to hold its analyst day just 2 days after 4Q earnings suggests mgmt may have some good news to share during earnings, but also implies limited additional financial detail during the analyst day itself. Key areas to focus on include: how DDOG wins in an AI-driven world, broader product strategy around AI Observability, deeper insight into customer behavior and AI-native cohorts, and LT targets for profitability margins and FCF.

DT (Buy, \$45 PT): We believe the setup is achievable into F2H26 given the combination of easing ARR growth comps (20% in F2Q to 16%/15% in F3Q/F4Q), seasonally stronger NNARR trends, and inexpensive valuation at 12x CY27 EBIT and 4x CY27 rev. Investors are focused on: **1) Accelerating NNARR and stabilizing ARR growth.** Total ARR is expected to grow 18% y/y in F3Q vs 17% in F2Q, with St ests at ~\$52M in NNARR CC adds in F3Q (-23% y/y growth). While we think ARR growth acceleration will likely be more of a FY27E event, bulls will be looking for accelerating NNARR adds in FY26E over FY25 (\$248M). **2) Sales productivity improvements,** which hinge on GTM initiatives (change in comp structure, rollout of strike and renewals teams). ~30% of reps still have <1 year of tenure.

Not a lot new at DT's Vegas user conference. Heading in, we were looking for a high-energy showcase that would reinforce the company's efforts to accelerate adoption in logs, appsec, and AI. Instead, our conversations with customers and partners suggested that neither AI nor logs on Grail is seeing a meaningful inflection in adoption yet. The atmosphere on the showroom floor also felt more subdued than expected, with lighter traffic and fewer major product announcements. On the positive side, we did come away with a clearer sense that DT is becoming more embedded with

KEY STOCKS FEATURED INCLUDE:

TICKER	RATING	PRICE TARGET
DDOG	BUY	\$160.00
DT	BUY	\$45.00

KEY CHANGES INCLUDE:

TICKER	RATING	PRICE TARGET
DDOG	BUY	↓ \$160.00 (\$180.00)
DT	BUY	↓ \$45.00 (\$55.00)

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developers, a shift that could have more meaningful implications for long-term growth as cloud and AI-native workloads expand.

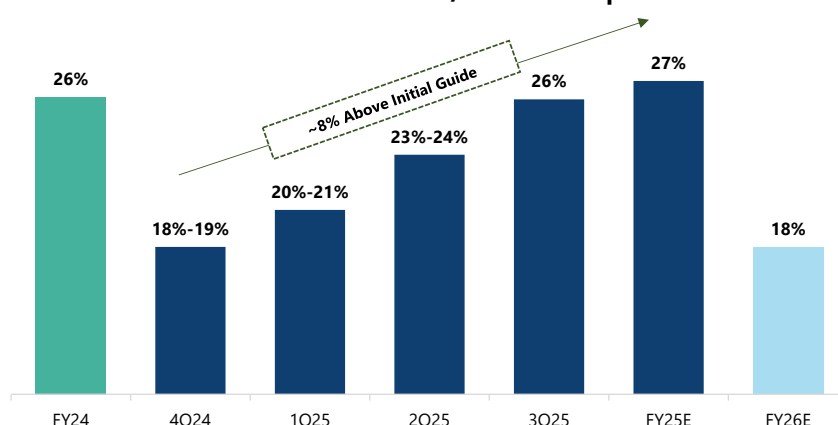
Exhibit 1 - Observability Stocks Have Underperformed Across Most Time Horizons

		YTD	1YR	3YR	5YR
Observability	DDOG	-20%	-25%	38%	-2%
	DT	-22%	-43%	-28%	-35%
	ESTC	-23%	-50%	-5%	-64%
Hyperscalers	AMZN	-3%	-8%	116%	34%
	MSFT	-17%	-2%	59%	72%
	GOOG	5%	59%	214%	221%
	IGV	-23%	-22%	40%	9%

Source: Jefferies, FactSet, Priced as of 2/5/2026

Exhibit 2 - DDOG: Expectations Call For Another Guidedown in CY26

Total Revenue Guide Y/Y Growth Implied

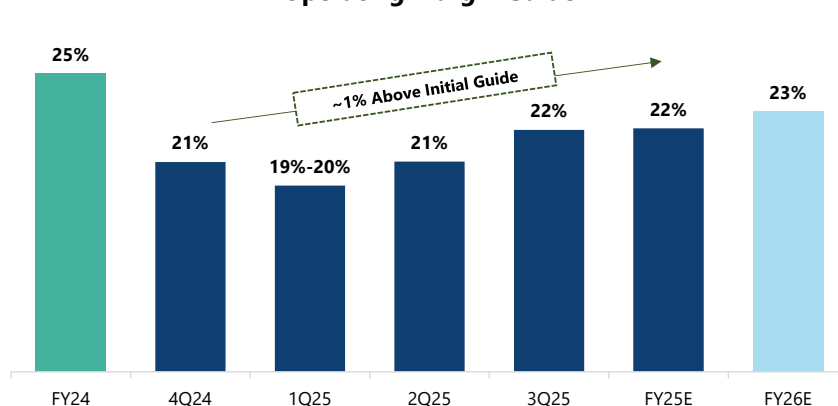


Source: Jefferies, FactSet, Company Data

FY25E assumes a normal-sized beat in 4Q25. FY26E reflects bogey for initial guide.

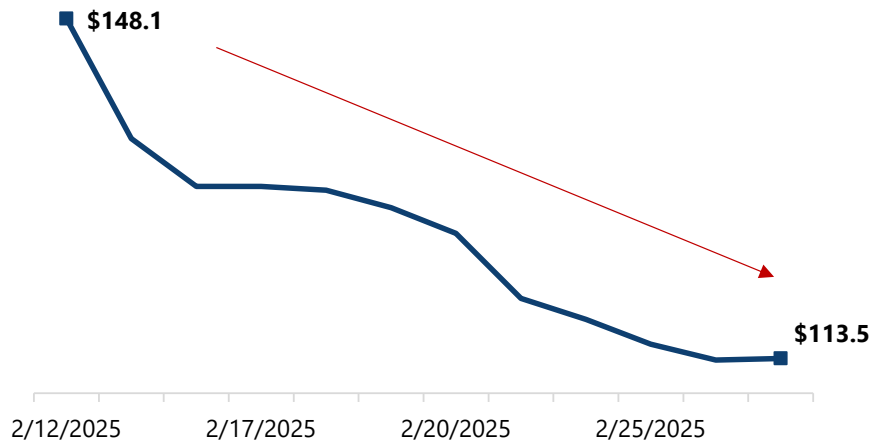
Exhibit 3 - DDOG: CY26 Non-GAAP OP Margin Guide Expected to Tick Higher vs Guidedown Last Year

Operating Margin Guide



Source: Jefferies, FactSet, Company Data

Exhibit 4 - DDOG Stock Declined 23% in the Two Weeks After Guiding Down CY25 Rev and Op Margin



Source: Jefferies, FactSet

Summary of Changes

Company	Rating	Price ^A	Price Target	Cons. Rev. Estimates			P/Cons. Rev.		
				2024	2025	2026	2024	2025	2026
Datadog DDOG	BUY	\$115.71	\$160.00	\$2,684.3	\$3,392.7	\$4,110.0	63.3x	57.5x	52.5x
			↓ -11%		↑ +2%	↑ +3%			
Previous			\$180.00	\$2,684.3	\$3,329.3	\$3,986.3			
Dynatrace DT	BUY	\$34.61	\$45.00	\$1,430.5	\$1,698.7	\$1,991.1	28.9x	24.8x	21.0x
			↓ -18%						
Previous			\$55.00	\$1,430.5	\$1,698.7	\$1,991.1			

^APrior trading day's closing price unless otherwise noted.

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Observability 4Q Preview

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Observability Stocks as a Category Has Lagged

Observability Vendors Have Underperformed Hyperscalers and the IGV Across Most Time Horizons

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Source: Jefferies, FactSet. Priced as of 2/05/2026

DDOG – Key Themes & Questions Into the Print

1

What are the underlying assumptions embedded into the CY26 growth guide (rate of usage expansion, optimization trends, AI-native cohort behavior, macro, etc)?

2

To what extent is DDOG exposed to optimization headwinds from its AI-native customer cohort (e.g. OpenAI and others), and how will that impact net expansion and usage-based revenue growth?

3

How does AI impact DDOG's competitive dynamics with open-source alternatives, hyperscalers and other observability startups?

4

How is DDOG balancing growth investments (particularly in AI and international expansion) with profitability?

5

What are DDOG's capital allocation priorities, and in which areas would the company prefer to buy rather than build?

DDOG: Jefferies vs Street Ests

Datadog (DDOG)

in millions, except per share items

4Q25E	Jefferies	Consensus	Δ vs Consensus	Guidance
Total Revenue	915.5	917.6	(2.2)	912-916
YoY	24%	24%	0%	24%
Non-GAAP Gross Margin	82.2%	81.1%	1.1%	
Non-GAAP Operating Income	219.0	220.6	(1.6)	216-220
Non-GAAP Operating Margin	23.9%	24.0%	-0.1%	24%
Non-GAAP EPS	0.55	0.55	(0.01)	0.54-0.56
Cash Flow from Ops.	266.9	294.8	(27.8)	
Free Cash Flow	228.5	257.5	(29.0)	

1Q26E	Jefferies	Consensus	Δ vs Consensus	Guidance
Total Revenue	936.5	935.6	0.9	
YoY	23%	23%	0%	
Non-GAAP Gross Margin	82.0%	80.7%	1.3%	
Non-GAAP Operating Income	220.2	208.9	11.4	
Non-GAAP Operating Margin	23.5%	22.3%	1.2%	
Non-GAAP EPS	0.51	0.52	(0.02)	
Cash Flow from Ops.	330.1	302.9	27.2	
Free Cash Flow	290.8	276.1	14.7	

FY25E	Jefferies	Consensus	Δ vs Consensus	Guidance
Total Revenue	3,389.4	3,392.7	(3.3)	3,386-3,390
YoY	26%	26%	0%	26%
Non-GAAP Gross Margin	81.2%	80.8%	0.4%	
Non-GAAP Operating Income	756.9	758.5	(1.5)	754-758
Non-GAAP Operating Margin	22.3%	22.4%	0.0%	22%
Non-GAAP EPS	2.01	2.02	(0.01)	2.00-2.02
Cash Flow from Ops.	990.0	1,005.5	(15.5)	
Unlevered Free Cash Flow	852.2	891.1	(38.9)	

FY26E	Jefferies	Consensus	Δ vs Consensus	Guidance
Total Revenue	4,074.7	4,110.0	(35.3)	
YoY	20%	21%	-1%	
Non-GAAP Gross Margin	82.0%	80.6%	1.4%	
Non-GAAP Operating Income	940.6	953.1	(12.6)	
Non-GAAP Operating Margin	23.1%	23.2%	-0.1%	
Non-GAAP EPS	2.20	2.31	(0.11)	
Cash Flow from Ops.	1,246.1	1,239.6	6.6	
Unlevered Free Cash Flow	1,093.8	1,110.3	(16.5)	

Source: Jefferies, Company Data, FactSet

DT – Key Themes & Questions Into the Print

1

Given multiple GTM initiatives (change in compensation structure for both direct sales and customer success reps, rollout of strike teams in logs/DEM/AppSec, introduction of a renewals team), how quickly can DT ramp sales productivity? When do these investments in GTM materialize in growth acceleration?

2

To what extent will having more of the install base on DPS increase steady-state growth and expansion rates?

3

How is DT positioned to monetize AI across its platform, and what differentiates its AI capabilities from peers in observability and security?

4

What is the LT outlook for on-demand consumption revenue, and how should investors think about its contribution to total revenue and seasonality over time?

5

What is the path to achieving greater success at scale with AppSec and DEM, and what are the key adoption hurdles or competitive dynamics in these newer modules?

DT: Jefferies vs Street Ests

F3Q26E	Jefferies Ests.	Consensus	Delta	Guidance
Total Revenue	\$504.72	\$505.80	(\$1.07)	503-508
YoY	15.7%	16.0%	(0.2%)	15-16%
Total ARR	\$1,952.48	\$1,939.45	\$13.03	
YoY	18.5%	17.7%	0.8%	
Non-GAAP Gross Margin	84.6%	84.3%	0.3%	
Non-GAAP Operating Margin	29.1%	28.8%	0.3%	28.5-29%
Non-GAAP EPS	\$0.41	\$0.41	\$0.00	0.40-0.42
Cash Flow from Ops.	\$67.54	\$43.41	\$24.13	
Unlevered Free Cash Flow	\$63.26	\$35.54	\$27.72	
% Margin	12.5%	7.0%	5.5%	

F4Q26E	Jefferies Ests.	Consensus	Delta	Guidance
Total Revenue	\$515.10	\$514.14	\$0.96	
YoY	15.7%	15.5%	0.2%	
Total ARR	\$2,015.44	\$2,018.35	(\$2.91)	
YoY	16.2%	16.4%	(0.2%)	
Non-GAAP Gross Margin	84.2%	83.9%	0.3%	
Non-GAAP Operating Margin	26.7%	26.3%	0.4%	
Non-GAAP EPS	\$0.38	\$0.37	\$0.01	
Cash Flow from Ops.	\$165.94	\$203.96	(\$38.02)	
Unlevered Free Cash Flow	\$161.58	\$191.38	(\$29.80)	
% Margin	31.4%	37.2%	(5.9%)	

FY26E	Jefferies Ests.	Consensus	Delta	Guidance
Total Revenue	\$1,991.03	\$1,991.14	(\$0.11)	1985-1995
YoY	17.2%	17.2%	(0.0%)	17-17.5%
Total ARR	\$2,015.44	\$2,018.28	(\$2.8)	2,010-2,025
YoY	16.2%	16.4%	(0.2%)	16-17%
Non-GAAP Gross Margin	84.4%	84.3%	0.1%	
Non-GAAP Operating Margin	29.1%	29.0%	0.2%	29%
Non-GAAP EPS	\$1.64	\$1.64	\$0.01	1.62-1.64
Cash Flow from Ops.	\$535.19	\$541.71	(\$6.5)	
Unlevered Free Cash Flow	\$514.88	\$511.43	\$3.4	505-515
% Margin	25.9%	25.7%	0.2%	26%

FY27E	Jefferies Ests.	Consensus	Delta	Guidance
Total Revenue	\$2,274.28	\$2,282.68	(\$8.41)	
YoY	14.2%	14.6%	(0.4%)	
Total ARR	\$2,307.27	\$2,307.13	\$0.1	
YoY	14.5%	14.3%	0.2%	
Non-GAAP Gross Margin	84.8%	84.4%	0.4%	
Non-GAAP Operating Margin	29.2%	29.5%	(0.2%)	
Non-GAAP EPS	\$1.82	\$1.84	(\$0.02)	
Cash Flow from Ops.	\$645.54	\$642.03	\$3.5	
Unlevered Free Cash Flow	\$600.05	\$606.33	(\$6.3)	
% Margin	26.4%	26.6%	(0.2%)	

Source: Jefferies, Company Data, FactSet

Industry/Partner Feedback Points to Strengthening Observability Fundamentals in 2026

We hosted calls with a VP of Sales at a leading private observability vendor, and a Managing Director at a GSI. Key takeaways:

Telemetry explosion creates value and waste, shifting cost burden to customers. As organizations move to microservices and cloud-native architectures, the amount of telemetry generated grows exponentially, creating more visibility but also significant waste. In most proprietary observability platforms, the burden of identifying unused data and optimizing ingest falls on the customer, requiring time-intensive engineering effort that few teams have capacity for. Grafana's Adaptive Telemetry differentiates by performing optimizations post-ingest, automatically eliminating low-value data and helping customers bring cost-to-value back into alignment, which is increasingly cited as a primary reason customers choose Grafana.

AI observability is fundamentally different from traditional SaaS observability. Unlike SaaS observability, which focuses on system availability and performance, AI observability is centered on whether models and prompts are producing optimal and reliable outcomes. This introduces entirely new requirements such as AI evaluations, prompt monitoring, and feedback loops, areas where point solutions like Langchain, Langfuse, and Braintrust have emerged due to gaps in the current observability stack. Most legacy observability platforms are not yet fully equipped to address the unique challenges of AI workloads.

Observability migrations are painful. Ripping out and replacing the agent was cited as the most painful step when switching observability vendors. OpenTelemetry has lowered switching costs by enabling vendor-agnostic data collection, but migrations remain complex and lengthy for customers not already standardized on open standards. While OpenAI represents a large and strategically important DDOG customer, an observability migration would divert engineering resources at a time when OpenAI is focused on competing with well-capitalized rivals like xAI and Anthropic. Even with strong cost incentives, the operational risk and time commitment associated with a large-scale observability transition make such a move difficult to justify in the near term.

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Strong secular tailwinds position observability well into 2026. Demand for observability services has accelerated meaningfully, with pipeline growth described as having “exploded” across enterprise clients, particularly within large-scale AI, application modernization, and resilience initiatives. After a volatile and experimental 2025, clients are now more AI-ready and moving from trials to committed programs, driving more durable spend decisions.

DT fundamentals are strong, but partner and ecosystem execution need work. DT's core business fundamentals were described as “amazing,” with no obvious structural reason the company should be capped at 15–17% growth in an expanding observability market. However, its partner strategy was cited as a material weakness, limiting distribution, ecosystem leverage, and mindshare relative to peers amid intensifying competition from hyperscalers and open telemetry-first disruptors. With better rebranding, stronger partnerships, and clearer positioning around AI-driven ROI, DT should be capable of sustaining materially higher growth rates over time.

Splunk attrition is accelerating. Splunk customer turnover is clearly increasing, driven by frustration with high costs, proprietary black-box architectures, and difficulty integrating with modern, AI-driven workflows. Customers are bifurcating toward either homegrown, open telemetry-based stacks like Prometheus, Grafana, and ClickHouse, or migrating to next-generation platforms such as DDOG, DT, or Coralogix. This shift reflects a broader industry move toward openness, cost control, and AI-ready telemetry pipelines.

What We Learned From DT Perform (User Conference in Vegas)

Observations from our conversations with partners/customers on the showroom floor:

- 1) **AI-driven intelligence is resonating, but trust still needs to be earned.** Customer excitement levels were high for Dynatrace Intelligence as a meaningful step forward in incident correlation and root-cause analysis, particularly for customers already standardized on DT telemetry.
- 2) **Gaining traction with developers and cloud-native personas.** Adoption beyond traditional ITOps to development and platform engineering teams is being driven by a more unified observability experience.
- 3) **Grail and Smartscape are key differentiators at scale, supporting premium pricing.** Customers consistently highlighted Grail's unified data model and scalability as an important advantage vs others like SPLK/ESTC, particularly as log volumes grow.
- 4) **AppSec remains a work in progress.** Interest in AppSec capabilities is growing, but adoption remains limited relative to best-of-breed security tools. Partners are seeing improving momentum but some note inconsistent enablement and execution across the broader ecosystem.

Product announcements focused on agentic automation and developer experience. In our view, the most notable announcements were the launch of Dynatrace Intelligence and the set of capabilities focused on enhancing the developer experience within DT. Dynatrace Intelligence is an agentic operations system that combines deterministic intelligence grounded in real-time causal context with agentic AI that can safely reason, decide, and act within defined guardrails. We believe DT is uniquely positioned to deliver these types of capabilities given that the system is enabled by Grail and Smartscape. DT also announced Domain-specific AI agents built on Dynatrace Intelligence that focus on specific operational areas such as SRE, DevOps, business observability, and security. They work alongside DT's foundational and assist agents to translate real-time, causally accurate insights from Grail and Smartscape into coordinated, autonomous actions.

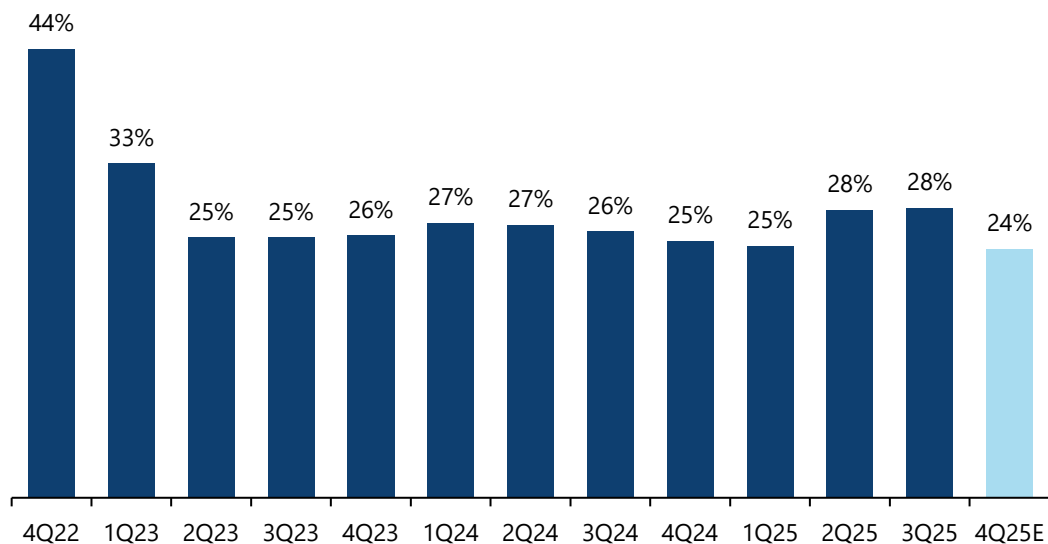
Continuing to expand the reach beyond ITOps. DT also announced a set of new developer experience capabilities, reducing the need to "alt-tab" by bringing live telemetry, traces, and production context directly into IDEs and allowing developers to debug, validate behavior, and act on real-time insights without leaving where they write code. Consistent with mgmt's initiative from last year's Perform to expand to more user personas, these enhancements deepen DT's relevance with development teams and expand its footprint across emerging cloud and AI workloads.

DDOG Earnings Preview

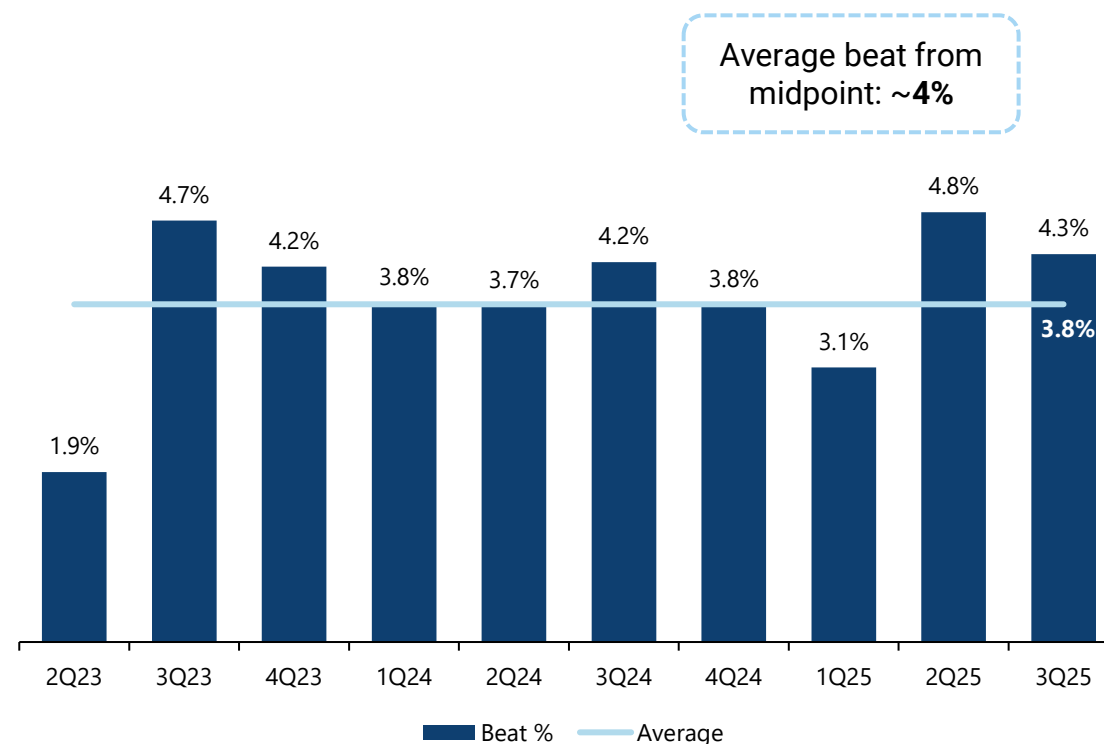
Achievable Setup with Easing Comps

Mgmt guided F4Q total rev to ~24% y/y growth, a 4pt sequential deceleration on a 1pt easier comp (25% in F4Q24 vs. 26% in F3Q24). This implies 3% q/q revenue growth, modestly lower than 7%/8% q/q growth in F3Q24/F3Q23. Assuming a similar magnitude of beat of ~4%, DDOG would grow at an implied rate of 27-28% y/y in F4Q (vs. 28% in F3Q).

Total Revenue Y/Y Growth By Quarter



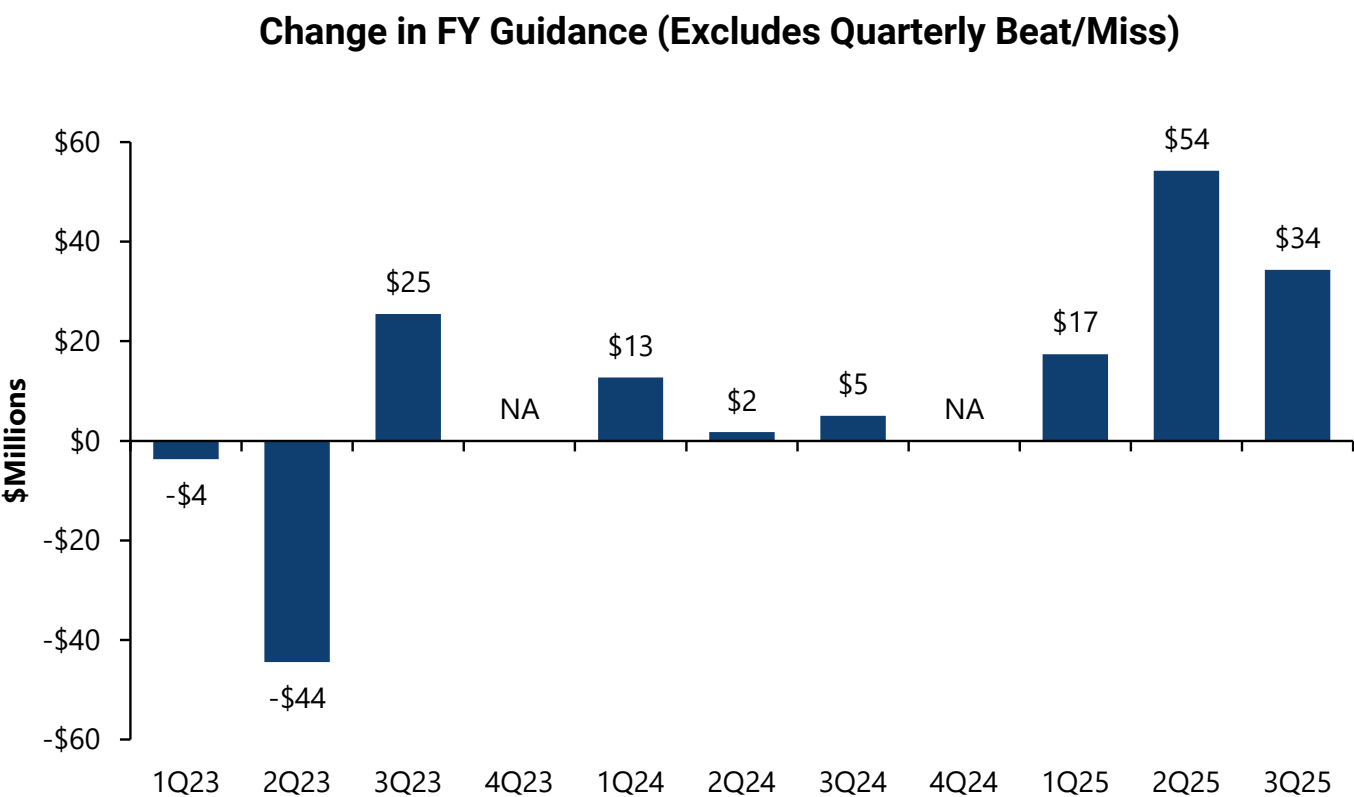
% Revenue Beat vs. Consensus



Source: Jefferies, Company Data, FactSet

Positive Demand Backdrop, Conservative Growth Assumptions

Overall, mgmt. sees a generally positive demand environment, with no major acceleration in cloud migration but no headwinds either, feels confident in the Q4 sales pipeline, and remains optimistic that long-term secular drivers like digital transformation and cloud migration continue to support the business. FY25 updated revenue guide implies 26% vs. 23-41% prior, achievable given embedded conservatism and consistently healthy usage trends. We think the FY26 revenue growth bogey is at 18% vs. Street of 21%, which many bracing for a prudent guide.

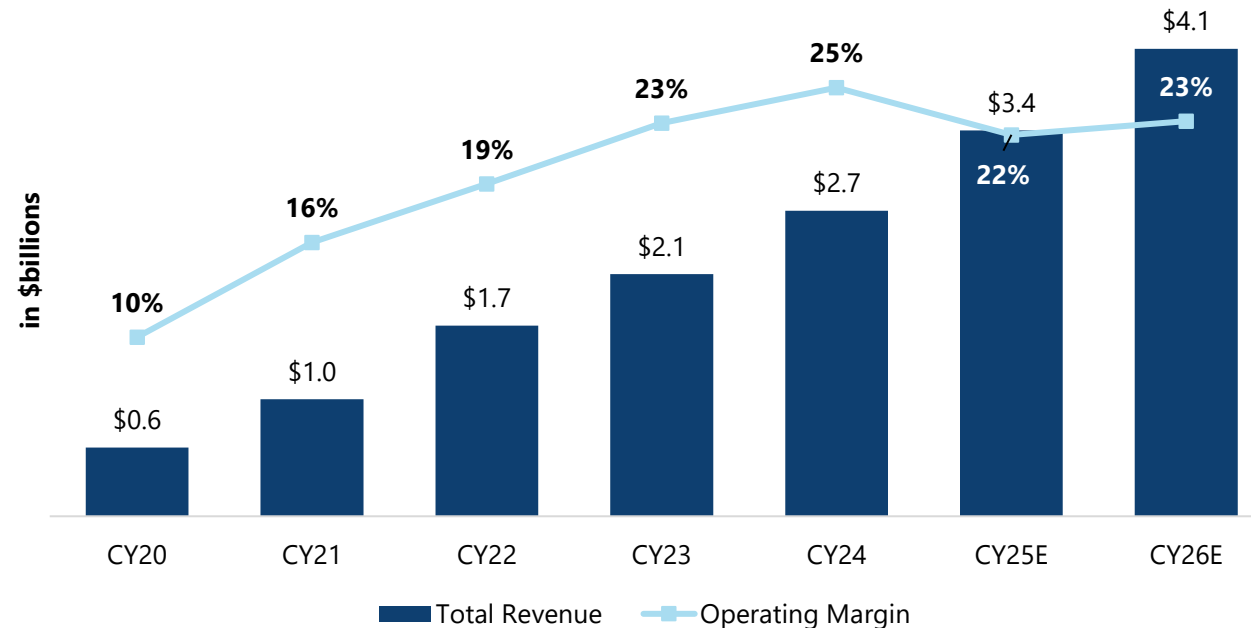


Source: Jefferies, Company Data

Low-20s Margins Reflect Growth-Focused Investment Strategy

DDOG's historically conservative top-line guidance often leads to margin outperformance, supported by strong incremental margins. Management guided to 24% op margin in F4Q (vs. 23% in F3Q) with gross margins improving sequentially as engineers delivered on cloud efficiency and are expected to improve further in 2H. With ongoing investments in R&D and S&M to push on expansion (including executing on ~30% headcount growth), we anticipate margins to remain in the low-20s, with operating leverage improving over time and gross margins sustained within historical norms.

Margins Have Come Down to Support More Aggressive Investments in Growth

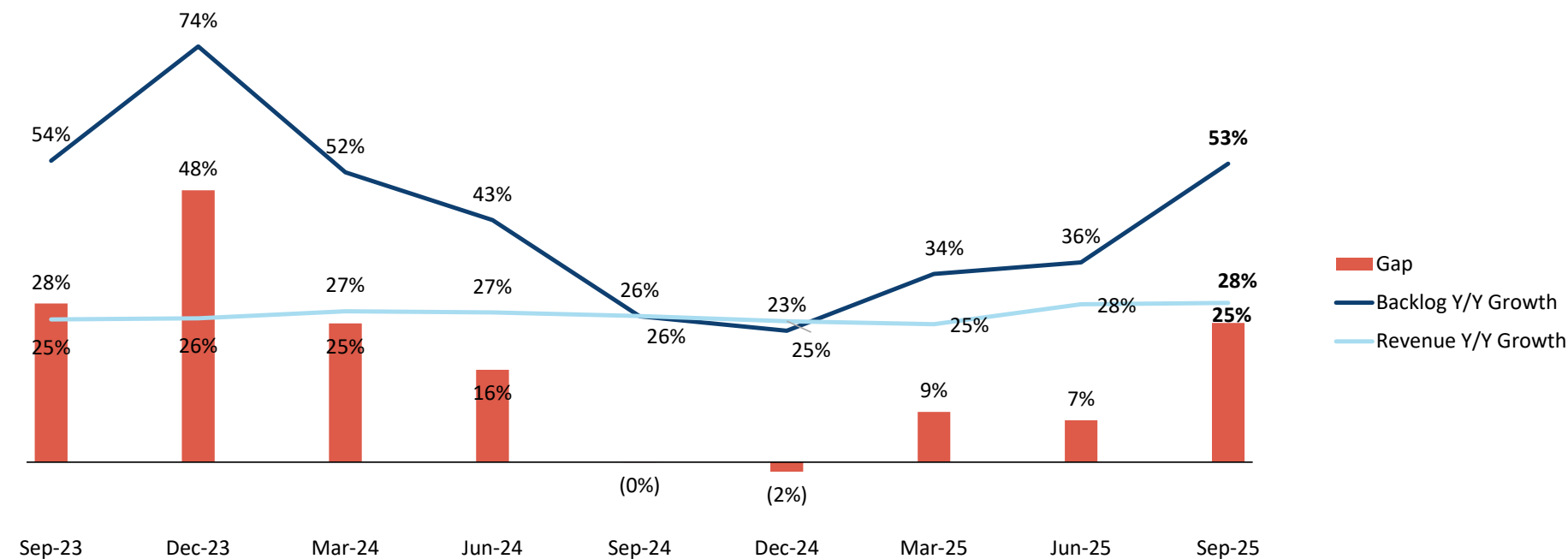


Source: Jefferies, Company Data, FactSet

RPO Growth Has Accelerated For Four Consecutive Quarters

DDOG's backlog significantly accelerated 17pts sequentially to 53% y/y vs. 36% in 2Q on a 17pt easier comp and above total rev growth of 28%. cRPO growth was in the low 50s y/y, outpacing the growth observed in 2Q. We view the gap between RPO and rev growth positively and believe that the two should converge over time, supporting upside to future top-line growth.

Gap Between DDOG's Backlog and Revenue Growth Back to Positive in 1H25 After Turning Negative in 4Q24



Source: Jefferies, Company Data

Enterprise, AI, and Security Momentum Support Usage Resilience

- **Usage Trends & Outlook**

- Management noted usage growth from existing customers was higher than expectations in 3Q25, and the strongest in 12Qs in the non-AI native customer base
- Rapid growth in the AI native cohort, they represented about 12% of 2Q25 revenues, up from 11% in 2Q25 and 8% in 1Q25. Excluding the largest customer, the cohort accelerated again in Q3.
- Growth was broad-based across SMB, mid-market, and enterprise segments, with customers across different spending bands, both large and small, seeing acceleration. SMB growth is seeing a strengthening demand cycle

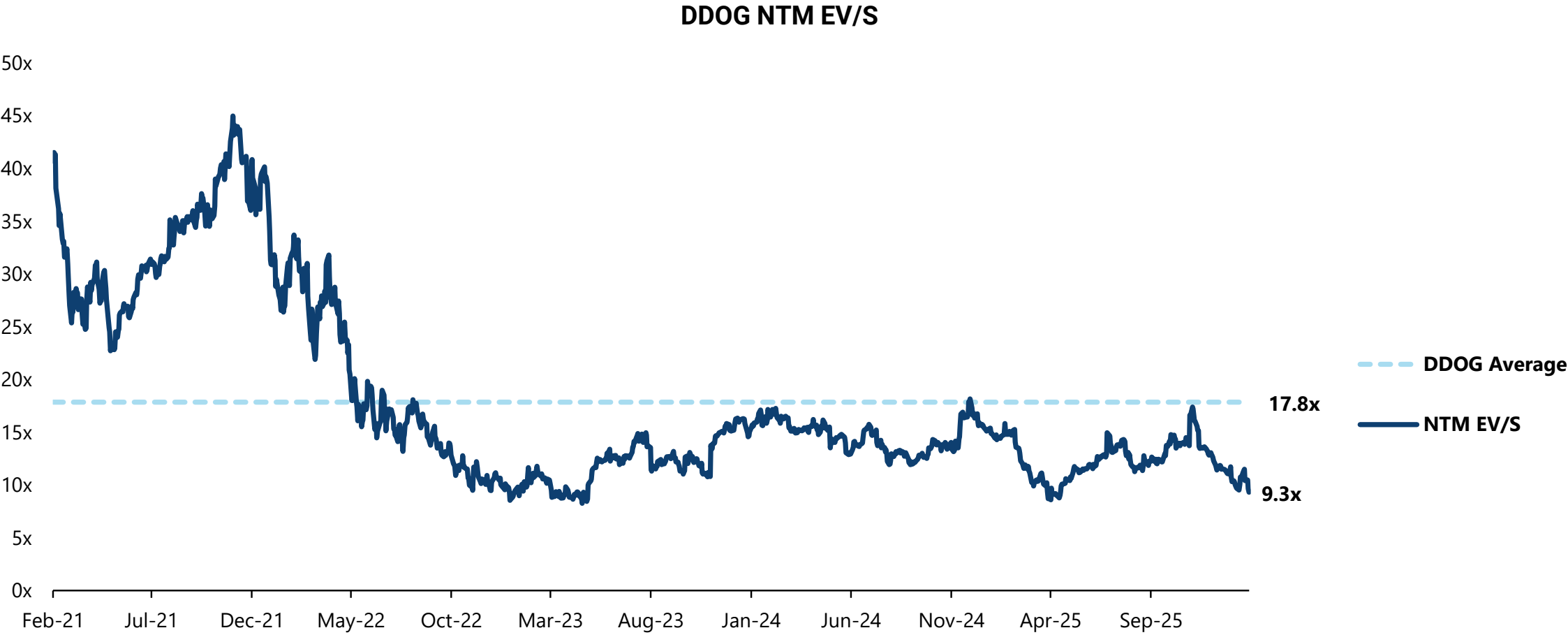
3Q25: Security ARR growth was in the mid-50s as a percentage y/y in Q3, up from the mid-40s we mentioned last Q. We're starting to see success in including Cloud SIEM in larger deals ... we're seeing positive trends beyond Cloud SIEM, including fast uptake of Code Security and an increasing number of wins in Cloud Security.

2Q25: Our security suite of product now generates over \$100 million in ARR and is growing mid-40s percent year-over-year. While we are pleased to achieve this milestone, we are still just getting started in solving customer problems in this area with new innovations such as our Bits AI Security Analyst.

1Q25: Flex Logs is off to a fast start and **now exceeds \$50 million** in ARR. Flex Logs has achieved this milestone in six quarters, which is the fastest ramp we've seen to that level... Second, our **database monitoring product is approaching the \$50 million ARR level as well and is growing 60% year-over-year.**

4Q24: Infrastructure monitoring contributes over \$1.25 billion in ARR. But we didn't stop there, **as log management is now over \$750 million in ARR**, and so is our third pillar, as our **end-to-end APM products together also exceed \$750 million** in ARR.

Valuation Trading Well Below Historical Average

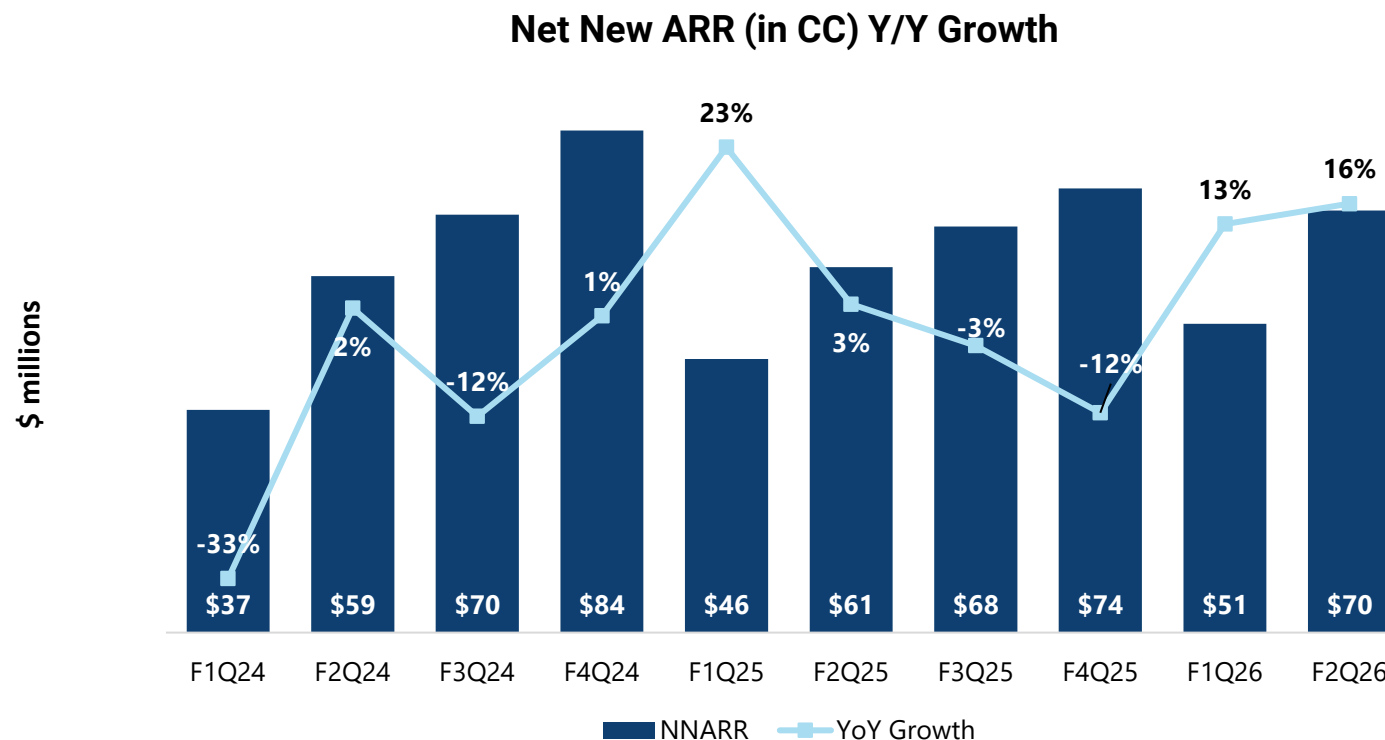


Source: Jefferies, Company Data, FactSet

DT Earnings Preview

Low Bar for NNARR, Achievable Setup

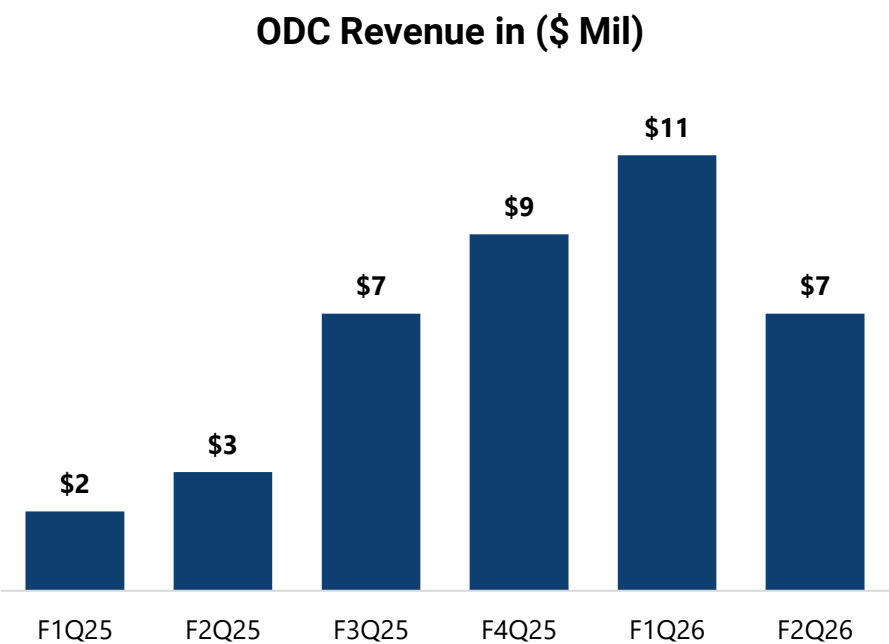
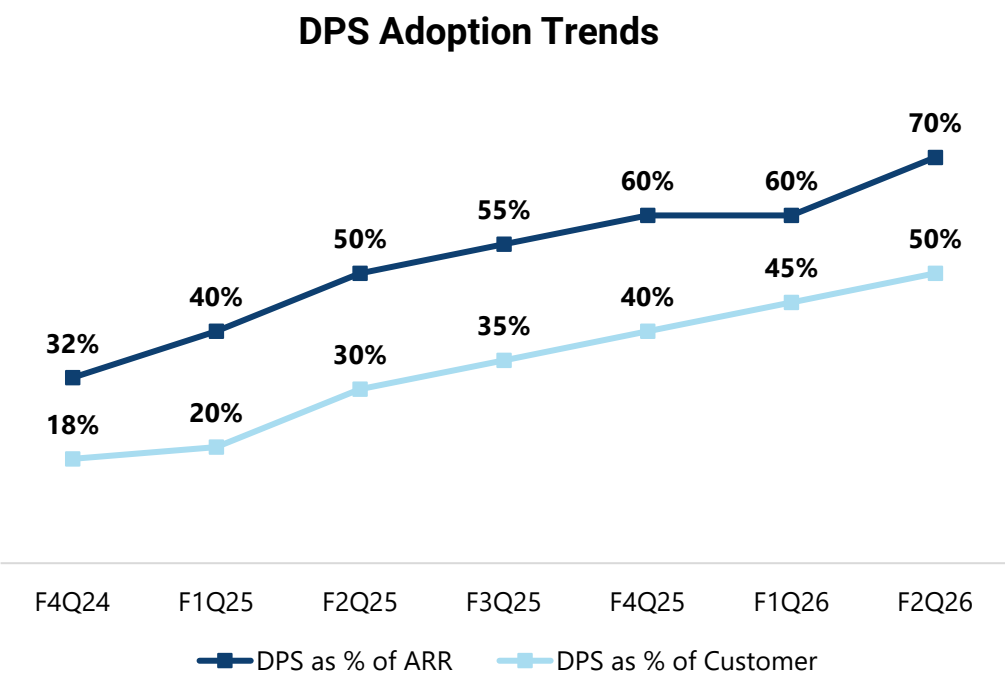
F3Q total rev guidance points to 15-16% y/y growth as reported, implying a ~2pt growth decel (vs. 18% y/y growth in F2Q) on 1pt tougher comp. Street ests call for ~18% y/y growth in total ARR or a 228bps of growth decel vs. F2Q on 4ps easier comp. Street ests for NNARR in CC sits at ~\$52M (we assume roughly \$3M of FX tailwinds on ARR in F3Q) vs. \$68M added in the year-ago period, and we think the bogey is in the low 70s. ARR seasonality in FY26 should align with historical patterns (a 40%/60% split between 1H/2H for NNARR in CC and a 45%/55% split between F3Q/F4Q).



Source: Jefferies, Company Data, FactSet

DPS Flywheel Shifts Focus Back to ARR

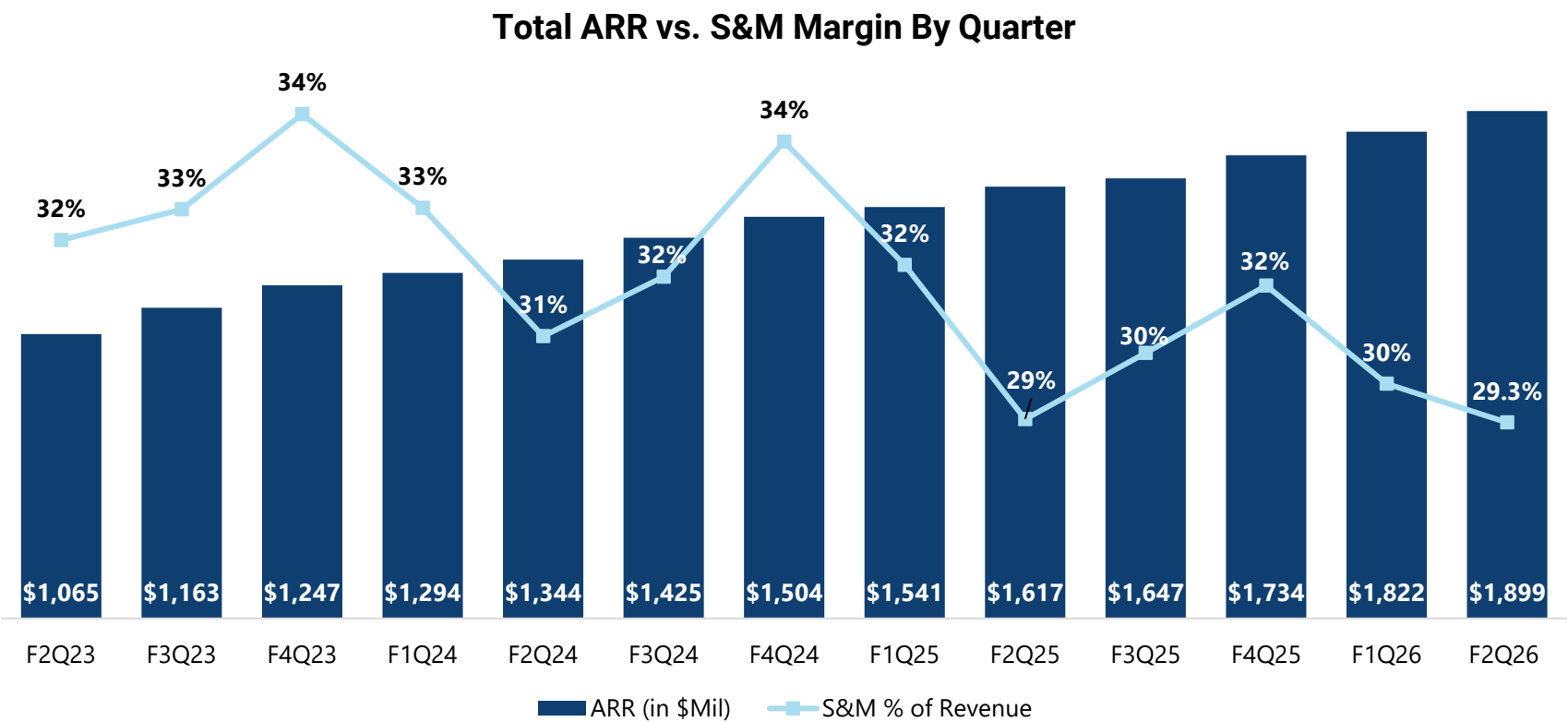
DT's new licensing model (DPS) has now been adopted by over 50% of its customer base and represents 70% of ARR. Consumption growth rate (>20% y/y) continues to significantly outpace ARR growth, and customers adopt 2x the number of capabilities under a DPS model vs. on a SKU-based model. While ODC remains an important metric, mgmt. notes that more customers did early expansions vs. ODC in F2Q. Sales incentives have shifted from bookings to expansion, pushing higher ASPs and making ODC less about upfront ARR and more about sustained, high-velocity consumption that ultimately converts into ARR growth. The current FY26 total rev guide embeds low \$30Ms of ODC rev (vs \$21M of ODC rev recognized in FY25), reflecting platform adoption and consumption as the key driver of near-term ODC and longer-term ARR.



Source: Jefferies, Company Data, Earnings Call

GTM Refocus on Strategic Accounts and Committed Growth

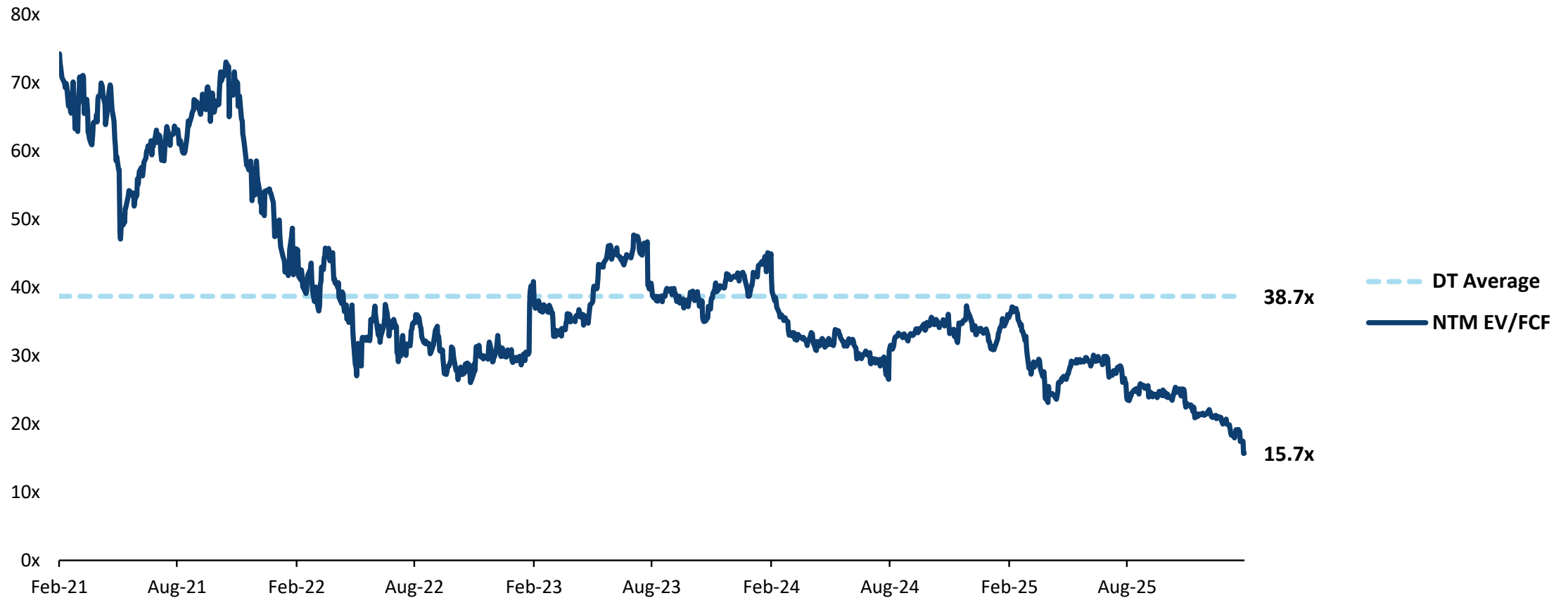
DT is refining its GTM motion around strategic and enterprise customers, where bookings are increasingly concentrated, and pipeline is the strongest, with strategic pipeline up 45% y/y and large deals becoming more prevalent. The company is shifting focus back to core growth metrics, including NNARR, ARR, new logos, and net retention, while making the sales force more proactive around early expansions and committed growth rather than variable consumption. DT has also deployed targeted strike teams and carved out a small AI-native sales motion, while partner momentum continues to improve, though overall sales productivity remains constrained by a still-ramping salesforce (~30% of reps have <1 yr tenure).



Source: Jefferies, Company Data

Attractive Risk/Reward, We See Re-rating Upside with Sales Execution

DT NTM EV/FCF



Source: Jefferies, Company Data, FactSet

Financials/Appendix

DDOG Non-GAAP Income Statement

Non-GAAP Income Statement	FY24	FY25E				FY25E	FY26E				FY26E	FY27E				FY27E
		1Q25	2Q25	3Q25	4Q25E		1Q26E	2Q26E	3Q26E	4Q26E		1Q27E	2Q27E	3Q27E	4Q27E	
	USD in Millions, except per share amounts	3/31/2025	6/30/2025	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2027	6/30/2027	9/30/2027	12/31/2027			
	366	90	91	92	92	365	90	91	92	92	365	90	91	92	92	365
Revenue	2684.3	761.6	826.8	885.7	915.5	3389.4	936.5	995.7	1,053.3	1,089.2	4074.7	1,128.4	1,196.2	1,271.8	1,325.7	4922.1
YoY	26%	25%	28%	28%	24%	26%	23%	20%	19%	19%	20%	20%	20%	21%	22%	21%
QoQ		3%	9%	7%	3%		2%	6%	6%	3%		4%	6%	6%	4%	
Cost of Sales	483.2	149.9	157.5	166.8	163.0	637.1	168.6	179.2	189.6	196.1	733.4	203.1	215.3	228.9	238.6	886.0
YoY	26%	46%	36%	28%	21%	32%	12%	14%	14%	20%	15%	20%	20%	21%	22%	21%
QoQ		11%	5%	6%	-2%		3%	6%	6%	3%		4%	6%	6%	4%	
Gross Profit	2,201.1	611.7	669.2	718.9	752.5	2,752.3	767.9	816.5	863.7	893.1	3,341.2	925.3	980.8	1,042.9	1,087.1	4,036.1
YoY	26%	20%	26%	28%	25%	25%	26%	22%	20%	19%	21%	20%	20%	21%	22%	21%
QoQ		1%	9%	7%	5%		2%	6%	6%	3%		4%	6%	6%	4%	
% Margin	82%	80%	81%	81%	82%	81%	82%	82%	82%	82%	82%	82%	82%	82%	82%	82%
Operating Expenses																
Research & Development	758.3	225.7	263.2	269.5	271.9	1,030.4	286.7	323.8	336.9	339.9	1,287.3	367.0	388.5	424.5	407.9	1,587.9
YoY	21%	32%	46%	38%	29%	36%	27%	23%	25%	25%	25%	28%	20%	26%	20%	23%
QoQ		7%	17%	2%	1%		5%	13%	4%	1%		8%	6%	9%	-4%	
% Margin	28%	30%	32%	30%	30%	30%	31%	33%	32%	31%	32%	33%	32%	33%	31%	32%
Sales & Marketing	629.0	178.4	200.0	195.5	214.0	787.9	215.9	228.0	228.7	246.1	918.7	254.7	262.2	265.3	278.1	1,060.4
YoY	26%	25%	27%	26%	24%	25%	21%	14%	17%	15%	17%	18%	15%	16%	13%	15%
QoQ		3%	12%	-2%	9%		1%	6%	0%	8%		4%	3%	1%	5%	
% Margin	23%	23%	24%	22%	23%	23%	23%	23%	22%	23%	23%	23%	22%	21%	21%	22%
General & Administrative	139.6	41.0	41.9	46.5	47.6	177.0	45.1	46.1	51.1	52.4	194.7	49.6	50.7	56.2	57.6	214.1
YoY	11%	34%	23%	29%	23%	27%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%
QoQ		6%	2%	11%	2%		-5%	2%	11%	2%		-5%	2%	11%	2%	
% Margin	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	4%	4%	4%	4%	4%
Total Operating Expenses	1,526.8	445.2	505.1	511.5	533.5	1,995.3	547.7	597.9	616.7	638.4	2,400.7	671.3	701.4	746.1	743.6	2,862.4
YoY	22%	29%	36%	32%	26%	31%	23%	18%	21%	20%	20%	23%	17%	21%	16%	19%
QoQ		5%	13%	1%	4%		3%	9%	3%	4%		5%	4%	6%	0%	
Operating Income	674.2	166.5	164.1	207.4	219.0	756.9	220.2	218.6	247.0	254.7	940.6	254.0	279.4	296.8	343.5	1173.7
YoY	38%	1%	4%	20%	22%	12%	32%	33%	19%	16%	24%	15%	28%	20%	35%	25%
QoQ		(7%)	(1%)	26%	6%		1%	(1%)	13%	3%		(0%)	10%	6%	16%	
% Margin	25.1%	21.9%	19.8%	23.4%	23.9%	22.3%	23.5%	22.0%	23.4%	23.4%	23.1%	22.5%	23.4%	23.3%	25.9%	23.8%
Other																
Other Income (Expense)	149.7	44.2	41.6	41.5	42.7	170.0	23.1	21.2	26.0	46.3	116.6	37.3	44.6	50.3	56.3	188.4
Pre-tax Income	823.9	210.7	205.7	248.8	261.7	926.9	243.3	239.8	273.0	301.0	1,057.2	291.2	324.0	347.1	399.8	1,362.1
Provision for Income Taxes	(16.4)	(5.3)	(1.8)	(0.7)	(5.2)	(13.1)	(4.9)	(4.8)	(5.5)	(6.0)	(21.1)	(5.8)	(6.5)	(6.9)	(8.0)	(27.2)
Effective Tax Rate	(2.0%)	(2.5%)	(0.9%)	(0.3%)	(2.0%)	(1.4%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)
Net income, Non-GAAP	807.4	205.4	204	248.1	256.4	913.9	238.4	235.0	267.5	295.0	1036.0	285.4	317.5	340.2	391.8	1334.9
YoY	40%	5%	8%	21%	18%	13%	16%	15%	8%	15%	13%	20%	35%	27%	33%	29%
% Margin	30%	27%	25%	28%	28%	27%	25%	24%	25%	27%	25%	25%	27%	27%	30%	27%
Tax Adjustment	153.6	37.5	40.1	50.7	54.95	183.2	51.09	50.36	57.33	63.22	222.0	61.16	68.03	72.89	83.96	286.0
	18.6%	18.2%	19.7%	20.4%	21.0%	19.8%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Net income, Non-GAAP after Tax Adjustment	653.8	167.9	163.8	197.4	201.5	730.6	187.3	184.7	210.2	231.8	814.0	224.3	249.5	267.3	307.9	1048.8
EPS, Non-GAAP	2.26	0.57	0.57	0.69	0.70	2.52	0.65	0.64	0.72	0.80	2.80	0.77	0.85	0.91	1.04	3.57
YoY	37%	3%	7%	19%	17%	12%	15%	12%	6%	14%	11%	18%	34%	26%	31%	27%
EPS, Non-GAAP after Tax Adjustment																
YoY	1.83	0.46	0.46	0.55	0.55	2.01	0.51	0.50	0.57	0.62	2.20	0.60	0.67	0.71	0.82	2.81
Sharecount																
Basic Shares	336.2	343.1	346.2	348.6	353.6	347.9	354.6	355.6	356.6	357.6	356.1	358.6	359.6	360.6	361.6	360.1
Diluted Shares	357.8	363.1	358.7	362.0	367.0	362.7	368.0	369.0	370.0	371.0	369.5	372.0	373.0	374.0	375.0	373.5

Source: Jefferies, Company Data

DDOG Base Case DCF

Discounted Cash Flow Analysis

DDOG			
Current Risk-free Rate of Return	3.50%	3.50%	3.50%
Historical Risk-free Rate of Return	5.00%	5.00%	5.00%
Beta	1.25		1.00
Market Rate of Return	11.50%	11.50%	11.50%
Cost of Equity	11.63%		10.00%
Growth Rate	As Modeled		5.00%
Last Quarter End	9/30/2025		
Total Cash and Equivalents	4,140.3		
Total Debt	982.4		
LTM Recurring Revenues	3,211.7		
NTM Recurring Revenues	3,901.0		
Shares outstanding (M)	362.0		

SCENARIO 2:

				FORECAST PERIOD						TRANSITIONARY PERIOD					TERMINAL	
	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	Perpetuity
Current Risk-free Rate of Return				3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	
Historical Risk-free Rate of Return				5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	
Beta				1.25	1.25	1.25	1.25	1.22	1.19	1.16	1.13	1.09	1.06	1.03	1.00	
Market Rate of Return				11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	
Cost of Equity				11.6%	11.6%	11.6%	11.6%	11.4%	11.2%	11.0%	10.8%	10.6%	10.4%	10.2%	10.0%	
FCF Growth Rate				(4.3%)	48.8%	22.3%	37.0%	35.0%	32.0%	27.4%	22.8%	18.1%	13.5%	8.9%	4.3%	
Diluted Shares at Year-end			357.8	362.7	369.5	373.5	384.7	394.3	402.2	408.9	414.4	418.5	421.3	422.7	422.7	
Share Growth %				1.4%	1.9%	1.1%	3.0%	2.5%	2.0%	1.7%	1.3%	1.0%	0.7%	0.3%	0.0%	
Free Cash Flow to Enterprise (\$M)	24.0	307.6	768.0	734.9	1,093.8	1,337.9	1,832.9	2,474.4	3,266.3	4,160.6	5,107.5	6,034.0	6,849.8	7,459.5	7,778.7	135,991.7
Free Cash Flow to Enterprise per Share				2.0	3.0	3.6	4.8	6.3	8.1	10.2	12.3	14.4	16.3	17.6	18.4	321.7
NPV of Free Cash Flow to Enterprise per Share				1.9	2.4	2.6	3.2	3.8	4.4	5.0	5.6	6.0	6.2	6.2	105.0	
Cumulative NPV of Free Cash Flow to Enterprise per Share				1.9	4.3	7.0	10.1	13.9	18.3	23.3	28.9	34.8	41.0	47.2		152.2
Cumulative NPV of FCFE per Share				152.21												
Subtract: Net Cash per share - 10% of Revenue				7.84												
Total NPV per Share				\$160.04												

Source: Jefferies, Company Data

DT Non-GAAP Income Statement

Non-GAAP Income Statement		FY25					FY26E					FY27E					FY28E				
		F1Q26	F2Q26	F3Q26E	F4Q26E		F1Q27E	F2Q27E	F3Q27E	F4Q27E		F1Q28E	F2Q28E	F3Q28E	F4Q28E		F1Q28E	F2Q28E	F3Q28E	F4Q28E	
USD in Millions, except per share amounts		6/1/2025	9/1/2025	12/1/2025	3/1/2026		6/1/2026	9/1/2026	12/1/2026	3/1/2027		6/1/2027	9/1/2027	12/1/2027	3/1/2028		6/1/2027	9/1/2027	12/1/2027	3/1/2028	
		92	92	91	90		92	92	91	90		92	92	91	91		92	92	91	91	
		365					365					365					365				
Revenue:																					
Subscriptions	\$1,622.163	\$457.507	\$473.089	\$483.298	\$491.348	\$1,905.242	\$516.375	\$536.320	\$559.003	\$568.625	\$2,180.323	\$589.843	\$611.872	\$640.903	\$650.972	\$2,493.591					
YoY growth	19.3%	19.9%	18.3%	15.8%	16.0%	17.5%	12.9%	13.4%	15.7%	15.7%	14.4%	14.2%	14.1%	14.7%	14.5%	14.4%					
Total	\$1,698.683	\$477.349	\$493.849	\$504.725	\$515.102	\$1,991.025	\$538.003	\$558.948	\$582.573	\$594.755	\$2,274.278	\$613.201	\$636.311	\$666.359	\$679.192	\$2,595.063					
YoY growth	18.7%	19.6%	18.1%	15.7%	15.7%	17.2%	12.7%	13.2%	15.4%	15.5%	14.2%	14.0%	13.8%	14.4%	14.2%	14.1%					
Cost of Subscription																					
	\$193.928	\$53.752	\$58.100	\$56.546	\$57.979	\$226.377	\$61.449	\$62.749	\$65.403	\$67.098	\$256.699	\$70.191	\$71.589	\$74.986	\$76.815	\$293.581					
YoY growth	24.2%	19.6%	27.3%	12.2%	9.5%	16.7%	14.3%	8.0%	15.7%	15.7%	13.4%	14.2%	14.1%	14.7%	14.5%	14.4%					
Cost of Services																					
	\$73.631	\$19.355	\$20.501	\$21.160	\$23.458	\$84.474	\$20.546	\$21.497	\$22.391	\$24.823	\$89.258	\$22.190	\$23.217	\$24.183	\$26.809	\$96.399					
YoY growth	12.5%	15.2%	16.5%	16.7%	11.2%	14.7%	6.2%	4.9%	5.8%	5.8%	5.7%	8.0%	8.0%	8.0%	8.0%	8.0%					
Total Cost of Revenue																					
	\$267.559	\$73.107	\$78.601	\$77.706	\$81.437	\$310.851	\$81.995	\$84.246	\$87.795	\$91.921	\$345.957	\$92.381	\$94.806	\$99.168	\$103.624	\$389.980					
YoY growth	20.8%	18.4%	24.3%	13.4%	10.0%	16.2%	12.2%	7.2%	13.0%	12.9%	11.3%	12.7%	12.5%	13.0%	12.7%	12.7%					
Gross Profit																					
	\$1,431.124	\$404.242	\$415.248	\$427.019	\$433.665	\$1,680.174	\$456.008	\$474.702	\$494.778	\$502.834	\$1,928.321	\$520.820	\$541.505	\$567.190	\$575.568	\$2,205.083					
YoY growth	18.4%	19.8%	17.0%	16.1%	16.9%	17.4%	12.8%	14.3%	15.9%	15.9%	14.8%	14.2%	14.1%	14.6%	14.5%	14.4%					
Research and Development																					
	\$276.582	\$77.908	\$84.118	\$85.803	\$90.143	\$337.972	\$91.460	\$95.021	\$99.037	\$101.108	\$386.627	\$104.244	\$108.173	\$113.281	\$115.463	\$441.161					
YoY growth	20.4%	22.5%	24.7%	22.6%	19.3%	22.2%	17.4%	13.0%	15.4%	12.2%	14.4%	14.0%	13.8%	14.4%	14.2%	14.1%					
Sales and Marketing																					
	\$523.919	\$142.979	\$144.550	\$153.941	\$159.682	\$601.152	\$161.401	\$167.684	\$177.685	\$178.427	\$685.196	\$183.960	\$190.893	\$199.908	\$203.758	\$778.519					
YoY growth	13.1%	12.1%	17.8%	15.8%	13.5%	14.7%	12.9%	16.0%	15.4%	11.7%	14.0%	14.0%	13.8%	12.5%	14.2%	13.6%					
General and Administrative																					
	\$137.083	\$40.249	\$33.761	\$40.378	\$46.359	\$160.747	\$46.806	\$47.511	\$46.606	\$50.554	\$191.477	\$52.122	\$54.086	\$53.309	\$57.731	\$217.249					
YoY growth	16.4%	25.6%	(0.7%)	18.7%	25.3%	17.3%	16.3%	40.7%	15.4%	9.0%	19.1%	11.4%	13.8%	14.4%	14.2%	13.5%					
Total Operating Expenses																					
	\$937.584	\$261.136	\$262.429	\$280.122	\$296.184	\$1,099.871	\$299.667	\$310.216	\$323.328	\$330.089	\$1,263.301	\$340.327	\$353.153	\$366.497	\$376.952	\$1,436.928					
YoY growth	15.6%	17.0%	17.0%	18.2%	17.0%	17.3%	14.8%	18.2%	15.4%	11.4%	14.9%	13.6%	13.8%	13.4%	14.2%	13.7%					
Operating Income																					
	\$493.540	\$143.106	\$152.819	\$146.897	\$137.481	\$580.303	\$156.340	\$164.486	\$171.450	\$172.745	\$665.021	\$180.493	\$188.353	\$200.693	\$198.617	\$768.155					
YoY growth	23.9%	25.3%	17.0%	12.4%	16.6%	17.6%	9.2%	7.6%	16.7%	25.6%	14.6%	15.4%	14.5%	17.1%	15.0%	15.5%					
% margin	29.1%	30.0%	30.9%	29.1%	26.7%	29.1%	29.1%	29.4%	29.4%	29.0%	29.2%	29.4%	29.6%	30.1%	29.2%	29.6%					
Other																					
Interest Expense / Income	\$46.927	\$11.835	\$10.041	\$10.141	\$9.127	\$41.145	\$9.584	\$10.063	\$10.566	\$11.094	\$41.307	\$11.649	\$12.231	\$12.843	\$13.485	\$50.208					
Pre-tax Income	\$540.467	\$154.941	\$162.860	\$157.038	\$146.609	\$621.448	\$165.924	\$174.548	\$182.016	\$183.839	\$706.327	\$192.142	\$200.584	\$213.536	\$212.102	\$818.364					
Income Tax Benefit	(\$118.154)	(\$28.664)	(\$30.129)	(\$30.622)	(\$29.615)	(\$119.030)	(\$33.185)	(\$34.910)	(\$36.403)	(\$36.768)	(\$141.265)	(\$38.428)	(\$40.117)	(\$42.707)	(\$42.420)	(\$163.673)					
Tax Rate		18%	18%	20%	20%		20%	20%	20%	20%		20%	20%	20%	20%						
Net Income																					
	\$422.313	\$126.277	\$132.731	\$126.416	\$116.994	\$502.418	\$132.739	\$139.639	\$145.613	\$147.071	\$565.062	\$153.714	\$160.467	\$170.829	\$169.681	\$654.691					
EPS	\$1.40	\$0.42	\$0.44	\$0.41	\$0.38	\$1.64	\$0.43	\$0.45	\$0.47	\$0.47	\$1.82	\$0.49	\$0.51	\$0.54	\$0.54	\$2.08					
Basic Shares Outstanding		300.153	301.558	302.558	303.558		304.558	305.558	306.558	307.558		308.558	309.558	310.558	311.558						
Fully Diluted Shares Outstanding		304.160	304.303	305.803	307.803		308.803	309.803	310.803	311.803		312.803	313.803	314.803	315.803						

Source: Jefferies, Company Data

DT Base Case DCF

Dynatrace (DT)

Discounted Cash Flow Analysis

\$ in millions, except per share data

	Year 1	Transition	Terminal
Current risk-free rate of return	3.5%		3.5%
Historical risk-free rate of return	5.0%	5.0%	5.0%
Beta	0.93		1.00
Market rate of return	11.5%	11.5%	11.5%
Cost of equity	9.5%		10.0%
Growth rate	As Modeled		5.0%

Cash and Cash Equivalents	1,314.7
Total Debt	-
Net Cash and Cash Equivalents	1,314.7
LTM Revenues	1,852.5
Shares Outstanding (m)	304.3
Net Cash/Share - 10% of Revenue	\$ 3.71

SCENARIO 2: Base Case

	HISTORICALS			FORECAST PERIOD					TRANSITIONARY PERIOD					TERMINAL	
	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	Perpetuity
Current risk-free rate of return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	
Beta	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	0.93	
Risk Premium	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	
Market rate of return	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	
Cost of equity	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	
WACC	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	
FCF Growth Rate (incl. stock buyback)		42.9%	3.9%	24.3%	19.6%	16.5%	22.0%	18.5%	15.2%	11.8%	8.5%	5.2%	1.9%	4.4%	
Free cash flow to the enterprise	233.2	333.3	346.4	430.6	514.9	600.1	732.1	867.5	999.1	1,117.5	1,212.7	1,275.7	1,299.5	1,356.8	
Diluted Share Count			297.8	304.2	307.8	311.8	324.3	337.2	348.5	357.8	364.9	369.8	372.3	372.3	
Diluted Share Count Growth			297.8	6.4	3.6	4.0	12.5	13.0	11.2	9.3	7.2	4.9	2.5	0.0	
FCFE / Share				1.42	1.67	1.92	2.26	2.57	2.87	3.12	3.32	3.45	3.49	3.64	70.98
NPV / Share of FCFE				1.29	1.39	1.46	1.57	1.63	1.66	1.65	1.60	1.52	1.40		26.04
Cumulative NPV of FCFE / Share				1.29	2.69	4.15	5.72	7.35	9.01	10.66	12.26	13.78	15.18		41.22

Cumulative NPV of FCFE / Share	\$	41.22
Current Diluted Shares (M)		304.3
Total NPV/Share	\$	44.93

Source: Jefferies, Company Data

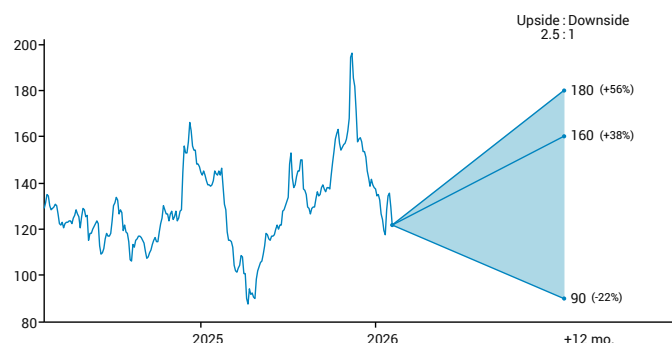
Jefferies

The Long View: Datadog

Investment Thesis / Where We Differ

We believe Datadog can sustain robust 20%+ growth rates in the years ahead as the company sees share gains in core infrastructure monitoring. Product strategy makes sense to us; we expect incremental traction from APM, log management, and potentially user monitoring over time as the cross-sell motion develops within the installed base (particularly among large enterprise customers). The company has proven to be a highly capital-efficient grower, and we see a path to continued profitability in the coming years.

Risk/Reward - 12 Month View



Base Case, \$160, +38%

- Assumes CY25E/CY26E total rev growth of 26%/20%
- Assumes CY25E/CY26E gross margin of 81%/82%
- Assumes CY25E/CY26E FCF margin of 25%/27%
- PT of \$160 implies 11x our CY27E total rev

Upside Scenario, \$180, +56%

- Assumes CY25E/CY26E total rev growth of >26%/>20%
- Assumes CY25E/CY26E gross margin of >81%/>82%
- Assumes CY25E/CY26E FCF margin of >25%/>27%
- PT of \$180 implies 13x our CY27E total rev

Downside Scenario, \$90, -22%

- Assumes CY25E/CY26E total rev growth of <26%/<20%
- Assumes CY25E/CY26E gross margin of <81%/<82%
- Assumes CY25E/CY26E FCF margin of <25%/<27%
- PT of \$90 implies 6x our CY27E total rev

Sustainability Matters

Top Material Issue(s): 1) Data Security: As a data company, Datadog understands the importance of data privacy and security as well as responsibly investing in the governance and technology required to protect data in an increasingly complex, global environment. Privacy and security by design are top of mind throughout its development process. **2) Employee Engagement, Diversity & Inclusion:** Fostering a safe, diverse and inclusive workforce is an indispensable component of making room for everyone to thrive in the digital age.

Company Target(s): 1) No known targets related to sustainable financing or emissions reduction.

Qs to Mgmt: 1) What are you investing in to protect your firm and your customers' data while pursuing AI initiatives? **2)** What cost savings do you expect with a more diverse workforce? **3)** What steps are you taking to maintain a culture of growth, innovation, and inclusion while balancing talent attraction, retention, and career development?

ESG Sector Deep Dive

Catalysts

- 4Q25 results to be announced in early-February

Financials: Datadog

Estimate changes

USD	2024A	2025E	2026E	2027E
Cons. Rev.	2,684.3	3,392.7 ↑ +2%	4,110.0 ↑ +3%	4,944.4 ↑ +3%
Previous		3,329.3	3,986.3	4,822.8
Rev. (MM)	2,684.3	3,389.4	4,074.7 ↓ -3%	4,922.1 ↓ -4%
Previous			4,179.4	5,114.4
Cons. EPS	1.83	2.02 ↑ +10%	2.31 ↑ +7%	2.85 ↑ +7%
Previous		1.84	2.16	2.67
EPS	1.83	2.01	2.20 ↓ -2%	2.81 ↓ -2%
Previous			2.24	2.87
Q1	0.44	0.46A	0.51 ↑ +4%	0.60 ↑ +2%
Previous			0.49	0.59
Q2	0.43	0.46A	0.50 ↓ -1%	0.67 ↓ -3%
Previous			0.51	0.69
Q3	0.46	0.55A	0.57 ↓ -6%	0.71 ↓ -6%
Previous			0.60	0.76
Q4	0.49	0.55	0.62 ↓ -4%	0.82
Previous			0.65	

Valuation metrics

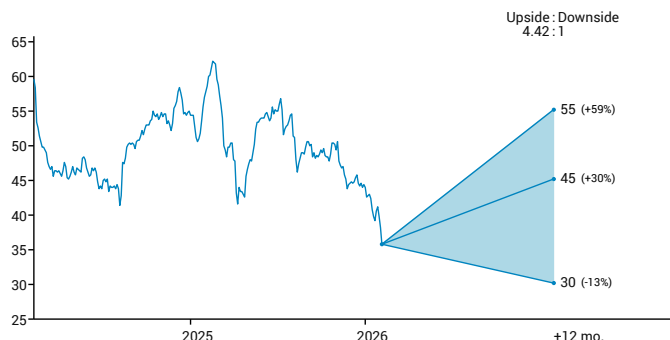
USD	2024A	2025E	2026E	2027E
FY P/E	63.3x	57.5x	52.5x	41.2x
EV/Rev	14.4x	11.4x	9.5x	7.9x
P/Rev	15.6x	12.4x	10.3x	8.5x

The Long View: Dynatrace

Investment Thesis / Where We Differ

- Our normalized ARR growth analysis suggests that total ARR growth is sustainable in the mid teens region over the next couple of years. This is coupled with likely 30%+ uFCF margins, which is unique among software companies.
- DT prices its offering at a premium, given the functionality delta to the competition. Our checks remain highly positive. While the premium pricing strategy is something to monitor, we do not believe it's an imminent risk.

Risk/Reward - 12 Month View



Base Case, \$45, +30%

- Assumes FY26E/FY27E total rev growth of 17%/14%
- Assumes FY26E/FY27E gross margin of 84%/85%
- Assumes FY26E/FY27E FCF margin of 26%/26%
- PT of \$45 implies 5x our FY27E total rev

Upside Scenario, \$55, +59%

- Assumes FY26E/FY27E total rev growth of >17%/>14%
- Assumes FY26E/FY27E gross margin of >84%/>85%
- Assumes FY26E/FY27E FCF margin of >26%/>26%
- PT of \$55 implies 6x our FY27E total rev

Downside Scenario, \$30, -13%

- Assumes FY26E/FY27E total rev growth of <17%/<14%
- Assumes FY26E/FY27E gross margin of <84%/<85%
- Assumes FY26E/FY27E FCF margin of <26%/<26%
- PT of \$30 implies 3x our FY27E total rev

Sustainability Matters

Top Material Issue(s): 1) Data Security: Keeping its customers' data protected is critical, so Dynatrace continues to evolve its technology and invest in data protection and security features for its platform. Dynatrace's infrastructure and systems have been built for resilience to counter systemic risks from technology disruptions. **2) Employee Engagement, Diversity & Inclusion:** Fostering a diverse and inclusive workforce is an indispensable component towards making room for everyone to thrive in the digital age. Dynatrace believes that employee diversity positively influences team dynamics, customer relationships and the solutions it offers through its platform.

Company Target(s): 1) Dynatrace has created diversity hiring rate targets.

Qs to Mgmt: 1) What are you investing in to protect your firm and your customers' data while pursuing your AI initiatives? **2)** What cost savings do you expect to derive from a more diverse workforce? **3)** What steps are you taking to maintain a strong culture of growth and inclusion while balancing talent attraction, retention and career development?

ESG Sector Deep Dive

Catalysts

- F3Q26 results in early-February
- Application security SKU traction
- Grail and DPS traction

Financials: Dynatrace

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. Rev.	1,430.5	1,698.7	1,991.1	2,282.7 <1%
<i>Previous</i>				2,283.1
Rev. (MM)	1,430.5	1,698.7	1,991.0	2,274.3
Cons. EPS	1.20	1.40	1.64	1.84
EPS	1.20	1.40	1.64	1.82
Q1	0.27	0.33	0.42A	0.43
Q2	0.31	0.37	0.44A	0.45
Q3	0.32	0.37	0.41	0.47
Q4	0.30	0.33	0.38	0.47

Valuation metrics

USD	2024A	2025E	2026E	2027E
EV/Rev	6.4x	5.4x	4.6x	4.1x
FY P/E	28.9x	24.8x	21.0x	19.0x
P/Rev	7.4x	6.2x	5.3x	4.6x

Company Description

Datadog

Datadog is a cloud-native infrastructure and application performance monitoring platform. The company combines a leading SaaS product with capital efficient growth. Datadog was founded in 2010 in New York City.

Dynatrace

Dynatrace provides software intelligence to simplify enterprise cloud complexity and accelerate digital workloads. With AI and complete automation, the platform provides answers, not just data, about application, infrastructure and user activity. Many of the world's largest enterprises use Dynatrace to modernize and automate enterprise cloud operations, improve software release efforts, and deliver higher value digital experiences.

Company Valuation/Risks

Datadog

Our DCF-based price target of \$160 implies a multiple of 11x our CY27 total revenue estimate. Risks include competitive inroads as monitoring workloads consolidate; choppiness in enterprise sales execution, given that the motion is relatively young; early renewals for certain contracts driving estimate volatility; and multiple compression across high growth.

Dynatrace

Our \$45 PT is based on a DCF analysis. Key risks include greater competition in the core APM market and pricing pressure over the longer term.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	February 5, 2026 15:08 P.M.
Recommendation Distributed	February 5, 2026 16:00 P.M.

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Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

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NC - Not covered. Jefferies does not cover this company.

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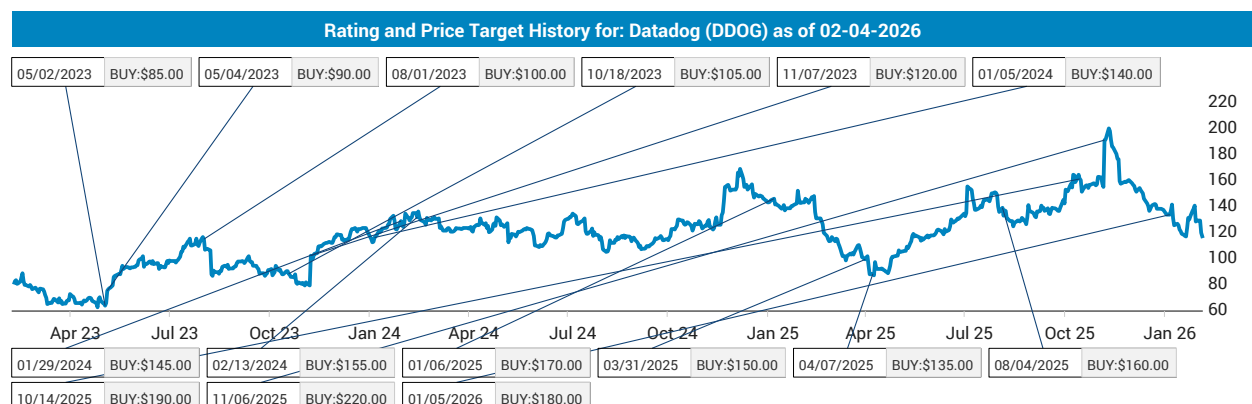
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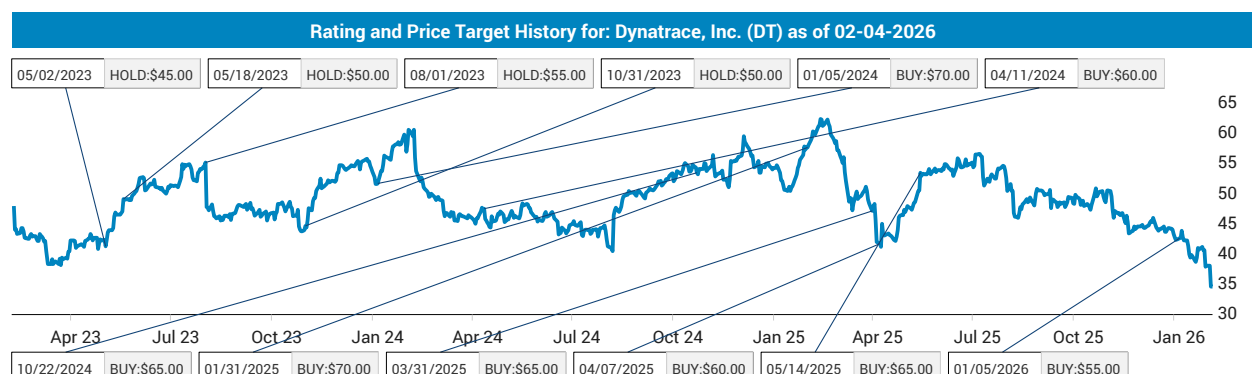
Risks which may impede the achievement of our Price Target

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Other Companies Mentioned in This Report

- Datadog (DDOG: \$115.71, BUY)
- Dynatrace, Inc. (DT: \$34.61, BUY)





Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

	IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent
BUY	2158	61.17%	367	17.01%
HOLD	1204	34.13%	104	8.64%
UNDERPERFORM	166	4.71%	2	1.20%

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